

Table 1: Table A6: Union Mediation of the Outsourcing Wage Penalty, 1983-2000

Period	Union Rate In-House	Union Rate Out- sourced	Gap	Union Premium (β)	Raw Penalty	Union- Gap Compo- nent (log points)	% Explained	N
Janitors								
1983-1987	26.4%	18.5%	7.9pp	0.268 (0.008)	-0.074 (0.008)	-0.021 (0.003)	28.6%	17,156
1988-1992	24.0%	15.4%	8.6pp	0.276 (0.009)	-0.076 (0.009)	-0.024 (0.003)	31.0%	17,300
1993-1997	22.2%	12.9%	9.2pp	0.241 (0.009)	-0.071 (0.008)	-0.022 (0.002)	31.2%	14,602
1998-2000 [†]	20.8%	12.0%	8.7pp	0.212 (0.010)	-0.045 (0.011)	-0.018 (0.003)	40.7%	8,239
Guards								
1983-1987	23.6%	11.6%	12.0pp	0.217 (0.014)	-0.300 (0.012)	-0.026 (0.003)	8.7%	5,152
1988-1992	20.2%	10.5%	9.7pp	0.214 (0.018)	-0.249 (0.010)	-0.021 (0.003)	8.4%	5,463
1993-1997	19.2%	9.3%	9.8pp	0.162 (0.019)	-0.230 (0.013)	-0.016 (0.003)	7.0%	4,873
1998-2000 [†]	17.4%	9.4%	8.0pp	0.100 (0.024)	-0.184 (0.016)	-0.008 (0.002)	4.3%	2,763

Gap = union rate, in-house minus outsourced, in percentage points. Union premium (β) is the union coefficient from the author's base model. Raw penalty is the outsourced coefficient from the nonunion model (no union control). Union-gap component (log points) = $-(\text{gap} \times \text{union premium})$, with an approximate delta-method SE: $\sqrt{\beta^2 \text{var}(\text{gap}) + \text{gap}^2 \text{var}(\beta)}$; shown as negative, in the same direction as the raw penalty (same convention as Table 4). % explained = $|\text{union-gap component}| / |\text{raw penalty}|$, and is unstable where the raw penalty is small. SEs in parentheses. [†] 1998-2000 is a shorter bin (3 years). Descriptive decomposition, not causal. Data: CPS-ORG via IPUMS.